

Title

ACCEL[®]

Page-text

India e-commerce

Other-text

Accel Partners

Other-text

2014

Image



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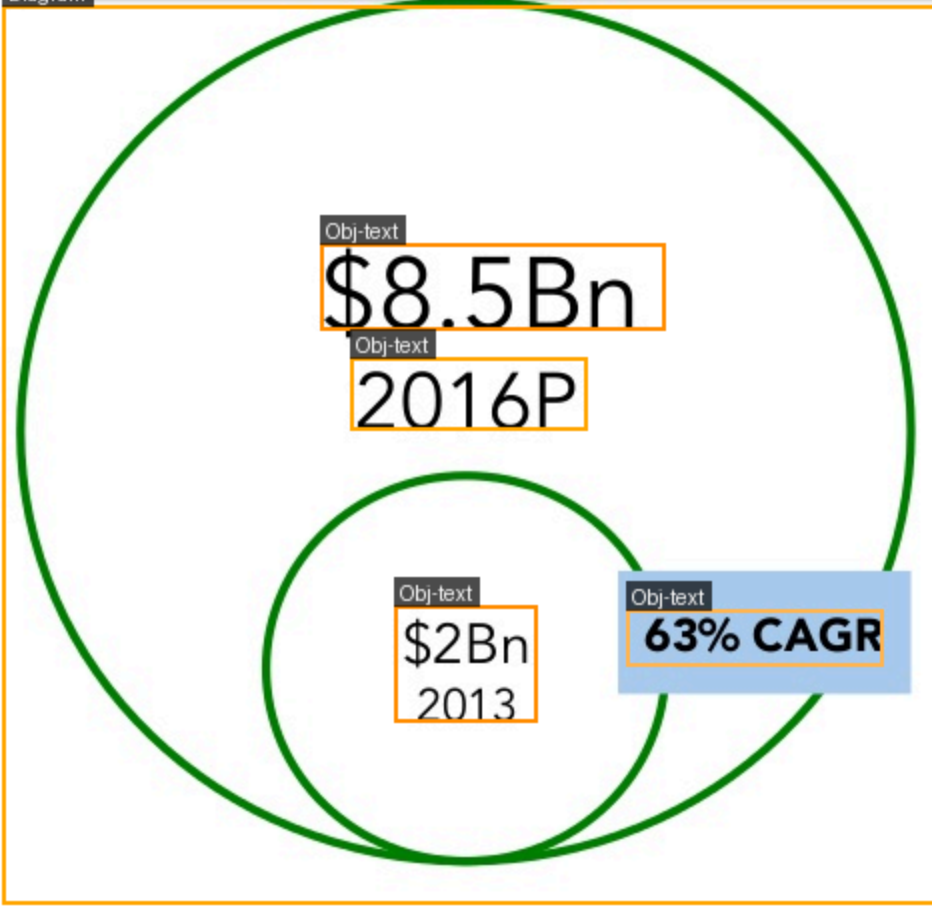
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Title
Executive summary

Page-text
Key finding

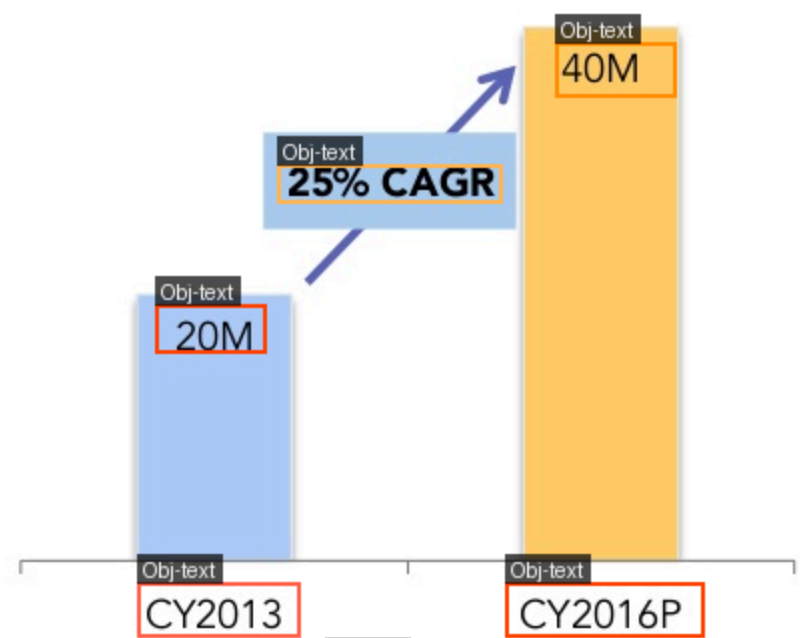
Page-text
Online shopping of physical goods in India, will grow to \$8.5Bn in 2016.
Page-text
Number of online shoppers in India will more than double to 40M.

Diagram



Figure

Caption
Indian online shoppers will double



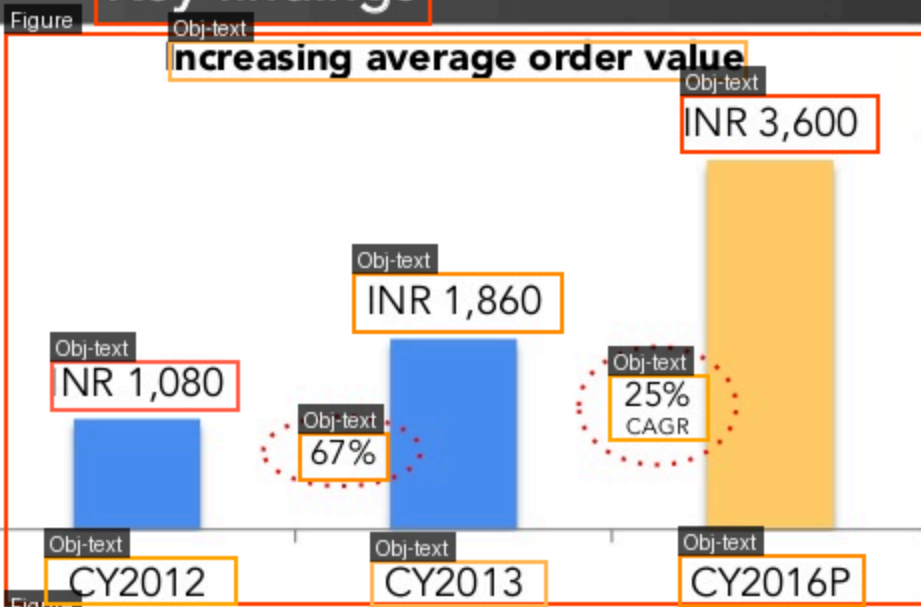
Page-text
Accel estimates and Industry sources

Page-text
2x Indian shoppers X 1.1x number of orders per year per shopper X 2x average order value

Page-text
Online Shopping defined in this presentation does not include travel, ticketing and food ordering – only physical goods commerce

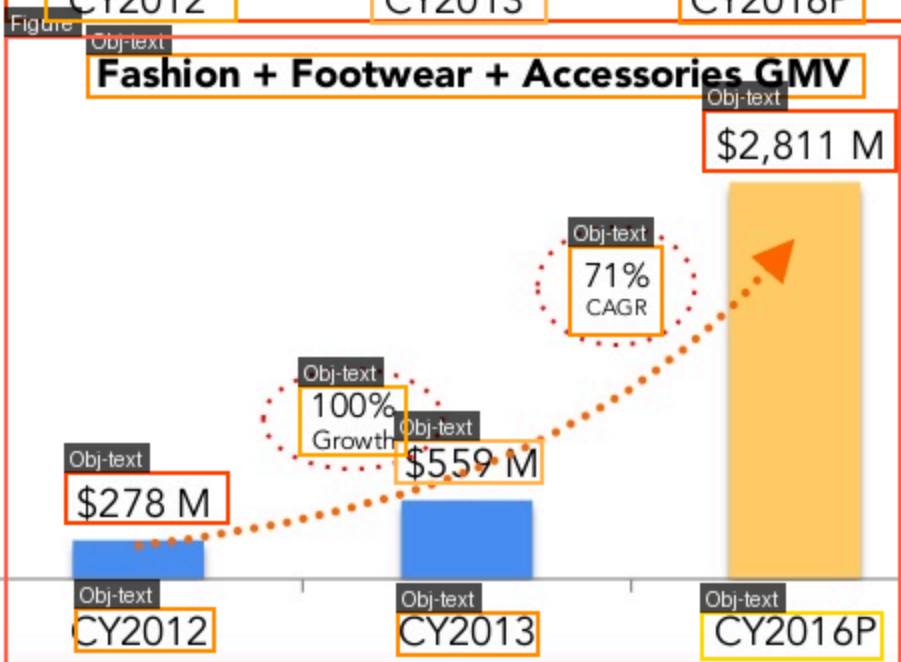
Title
Executive summary

Page-text
Key findings



Page-text
Average order values climbing up rapidly

- Page-text
1. Last year there was a significant jump in average order value as there was a penetration of new categories like jewellery, home décor etc.
 2. Also, users are becoming more comfortable buying higher priced items online.



Page-text
Fashion category doubled last year

- Page-text
1. Last year was the rise of the fashion category – fashion e-commerce GMV doubled since 2012.
 2. Given the young demographic which is shopping for latest looks online and increasing choice online – we estimate that this category will see 400% growth in the next 3 years and rival electronics and mobile category in GMV.

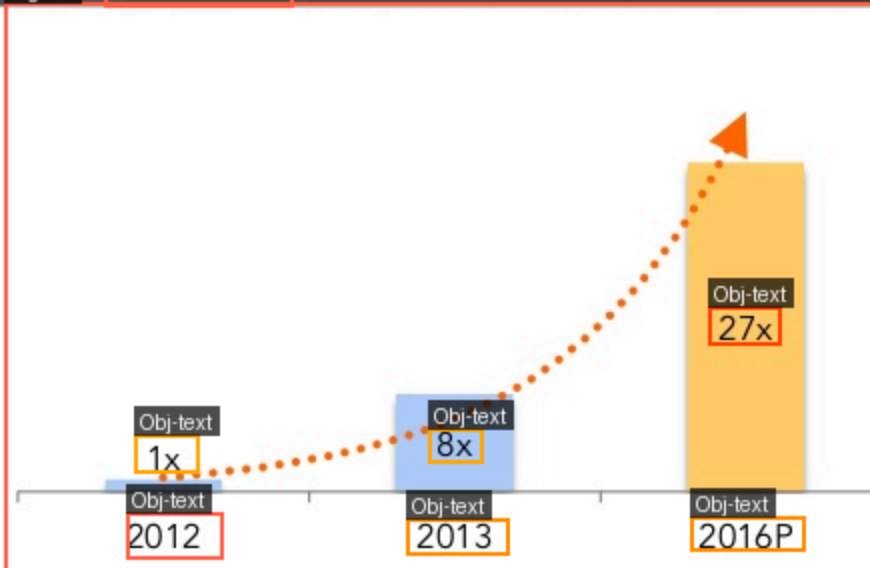
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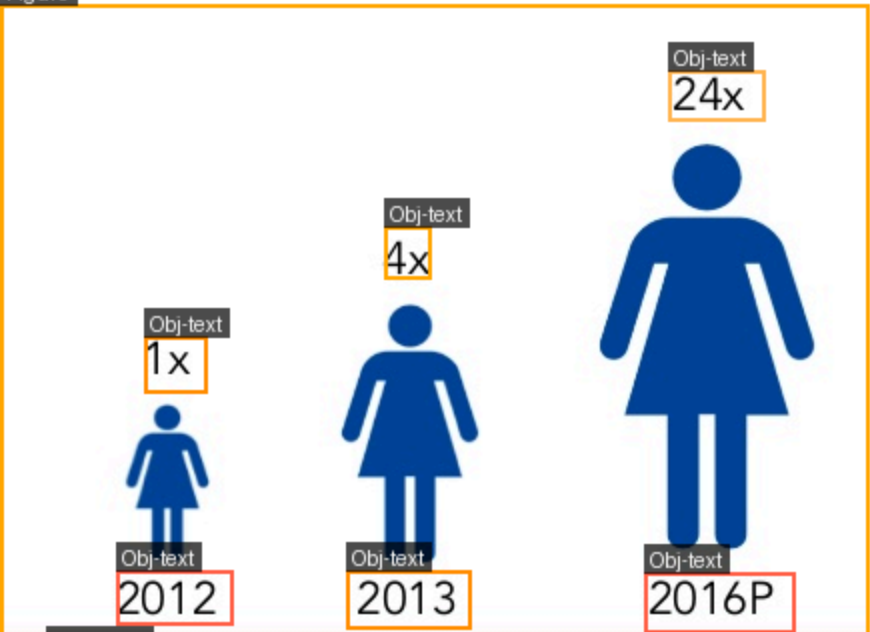
Page-text

Trends

Figure



Figure



Other-text

Online Shopping defined in this presentation does not include travel, ticketing and food ordering

Page-text

Mobile shopping is seeing phenomenal growth

Page-text

1. Mobile shopping infrastructure is improving – smartphones, connectivity, mobile websites and apps

Page-text

2. People are becoming more comfortable in ordering higher priced items online

Page-text

Women influenced sales will grow 5x in next 3 years

Page-text

1. 35% of online GMV in 2016 will be influenced by women

Page-text

2. Key factor in this growth is increasing supply of women specific categories e.g. jewellery, lingerie, motherhood products

Other-text

Accel estimates and Industry sources

Other-text

Title

Executive Summary

Page-text

Trends: Rise of EMIs & Wallets

Page-text

- With increasing order values, we are seeing an uptick of EMI payments
- 3rd party wallets albeit a new phenomenon, have a strong value proposition and will be quick to become popular – similar to China

Figure

Obj-text

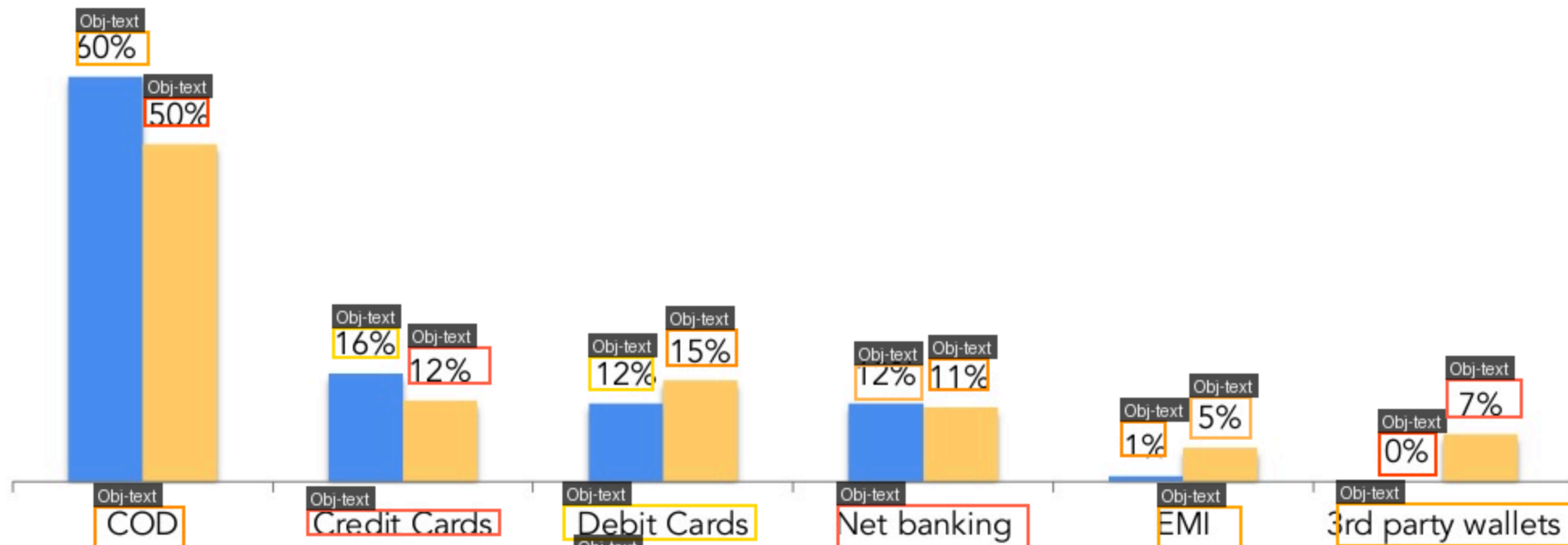
Indian payment landscape - rise of EMIs and Wallets (Total: 100%)

Obj-text

2013

Obj-text

2016P



Accel estimates, Accel portfolio companies and Industry sources: PayU, EMVantage

Other-text

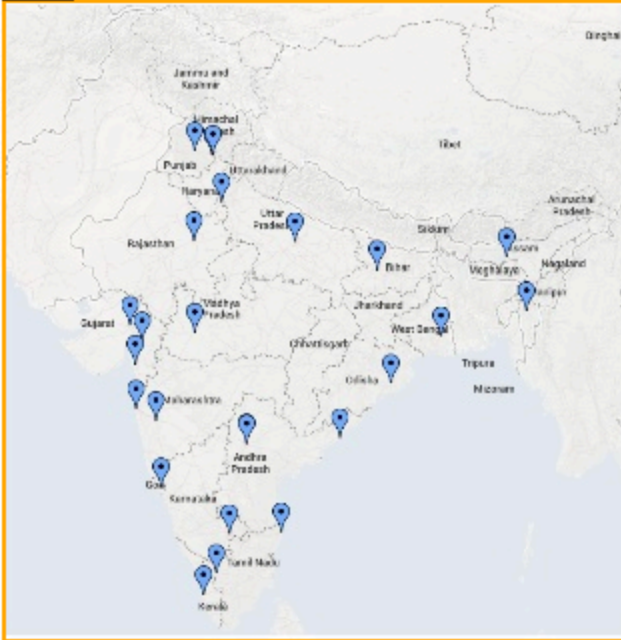
Title

Executive summary

Page-text

Growth factors

Image



Page-text

More penetration in Tier-II and Tier-III towns

Page-text

1. Tier 2 cities growing much faster in eCommerce adoption than Tier 1

Page-text

2. Some states completely lagging in ecommerce, waiting for infrastructure to be put in place

Page-text

New shoppers will come from the 40M+ Gen-Y FB users

Page-text

1. Potentially 40M shoppers between ages of 19 – 24 years, will start spending money online

Page-text

2. These shoppers also have a propensity to spend more money than Gen-X shoppers

Page-text

Accel estimates, Google, Facebook, NSSO, Accel portfolio companies

Other-text

Other-text

Online Shopping defined in this presentation does not include travel, ticketing and food ordering

Title
Enough headroom for growth

Page-text
Online retail is still a very small portion of retail in India

Figure
Obj-text
247Mn mobiles shipments in India CY2013

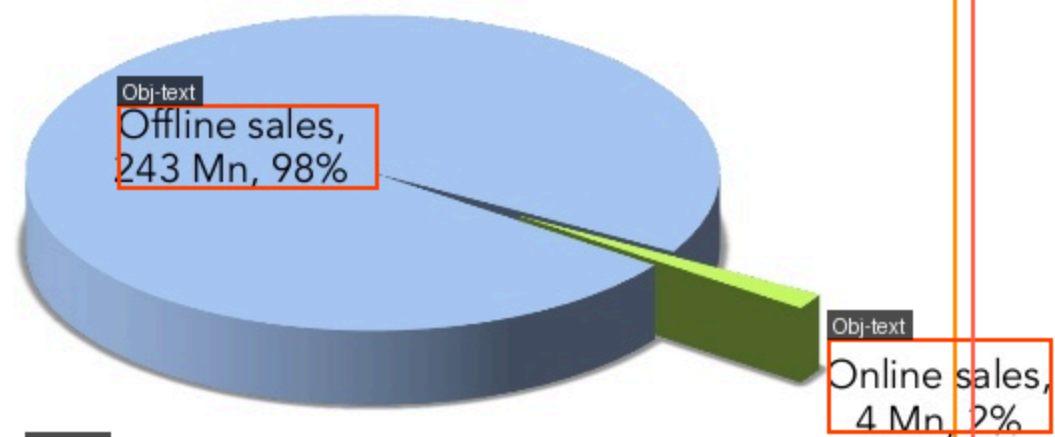
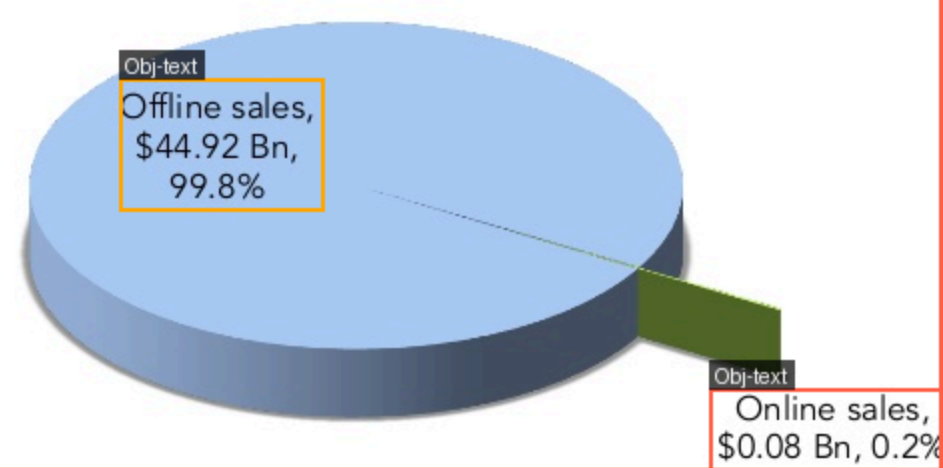
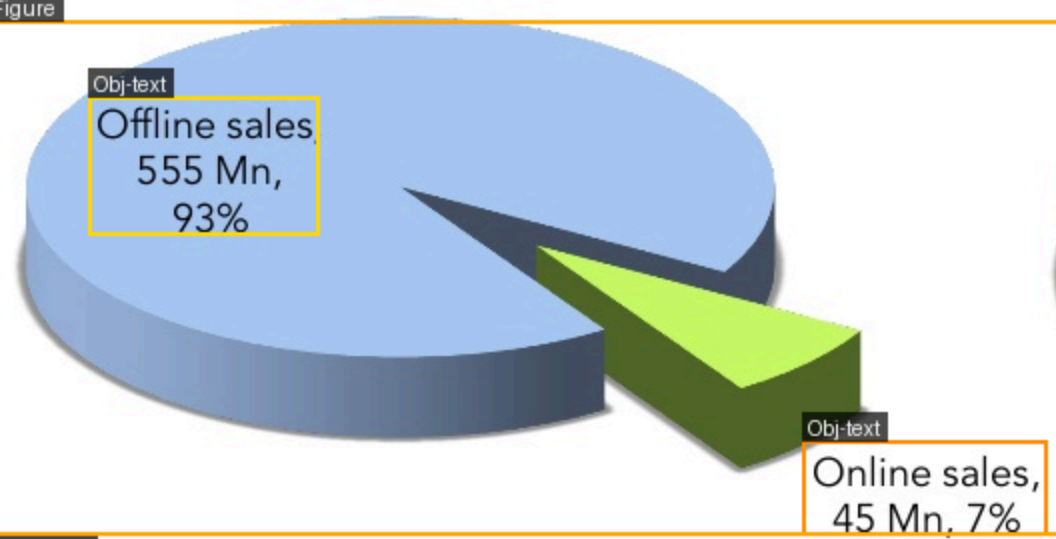


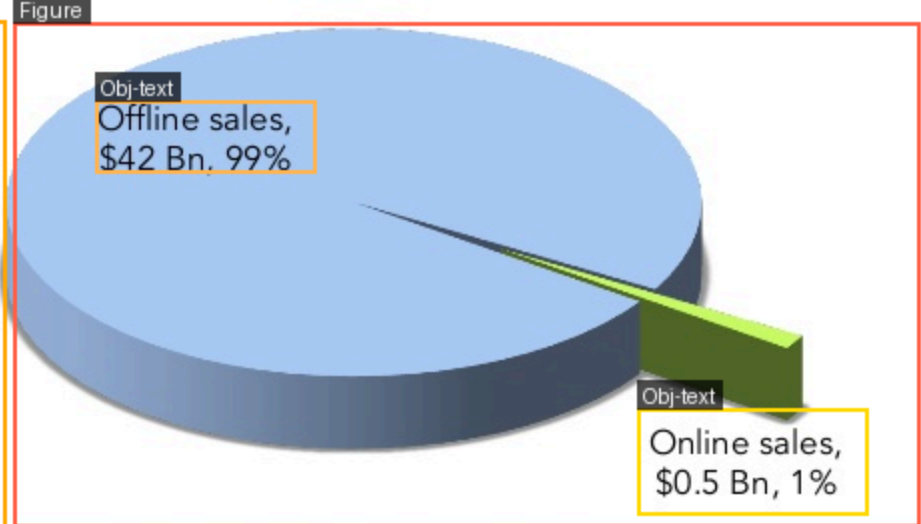
Figure text
USD 45Bn jewellery sales in India CY 2013



Obj-text
600Mn books sold in India CY 2013



Obj-text
USD 43Bn fashion + footwear sales in India CY 2013



Table

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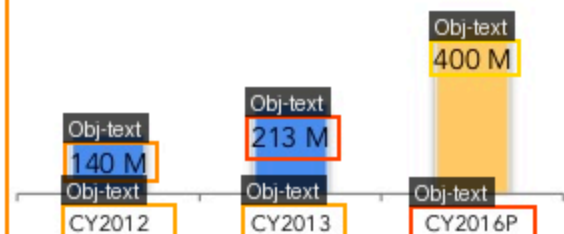
Title

Growth of India online shopping

Dia Figure

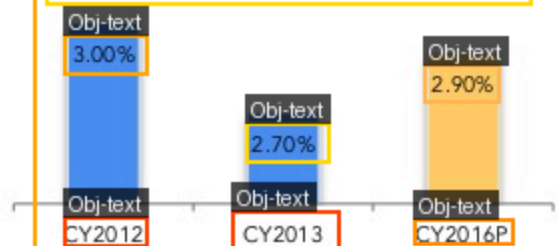
Obj-text

Internet users in India

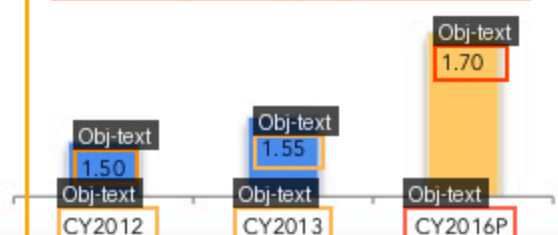


% of internet users who visit e-commerce sites = 60%

Conversion from visitors to buyers

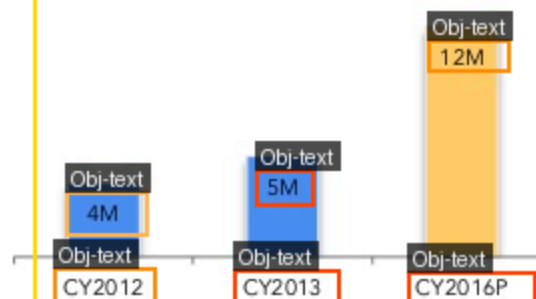


Orders per buyer per month

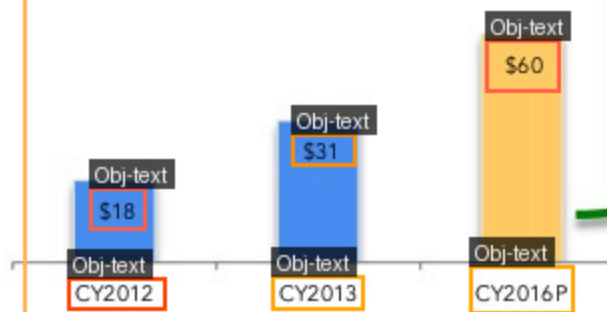


Figure

of orders per month



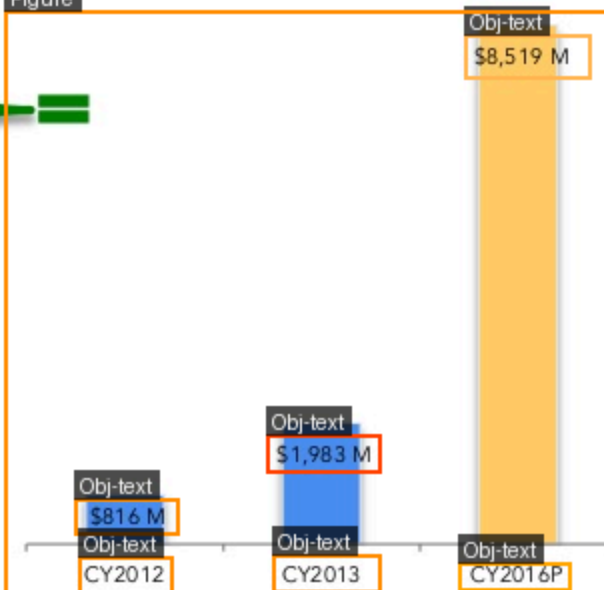
Average order value



Obj-text

Annualized online shopping GMV

Figure



Other-text

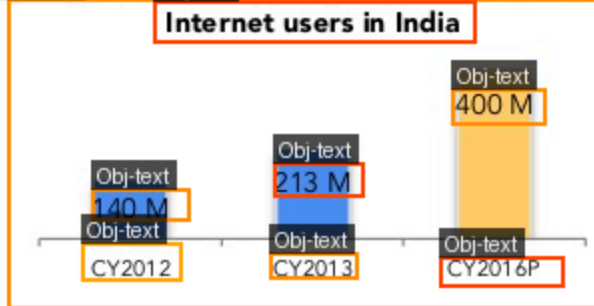
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Growth of India online shopping

Figure

Obj-text

Internet users in India



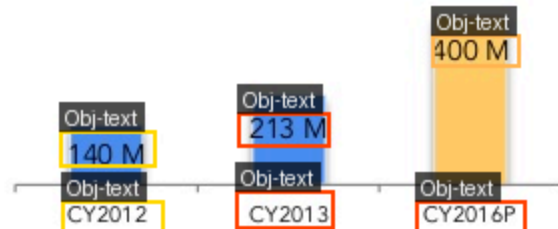
Title

Growth of India online shopping

Diagram

Obj-text

Internet users in India



Obj-text

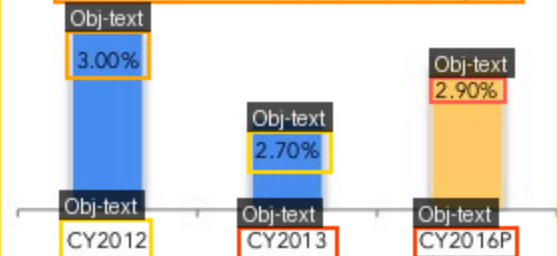
% of internet users who visit e-commerce sites = 60%



Figure

Obj-text

Conversion from visitors to buyers



Page-text

- India e-commerce market will start maturing and display characteristics similar to China – which traditionally has higher conversion rates (nearly 3.5%)

Page-text

- This is due to e-commerce being only choice for availability of goods in parts of the country and easy payment options like COD – which are not problems in western countries

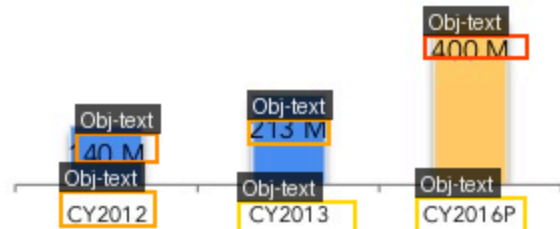
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Growth of India online shopping

Diagram

Caption

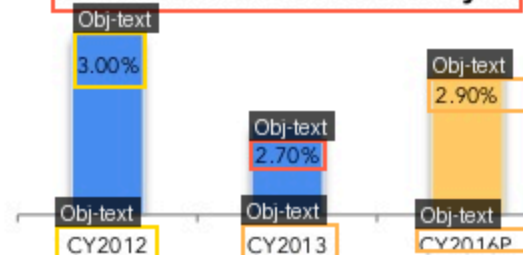
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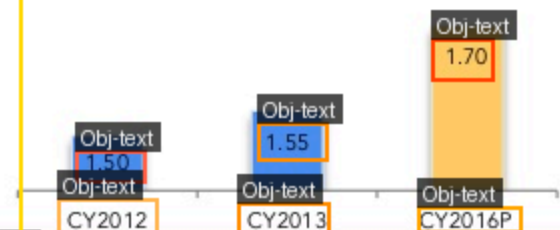
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Conversion from visitors to buyers



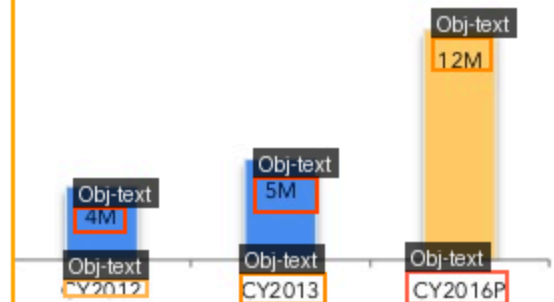
Figure

Orders per buyer per month



Figure

of orders per month



- India e-commerce market will start maturing and display characteristics similar to China – which traditionally has higher conversion rates (nearly 3.5%)
- This is due to e-commerce being only choice for availability of goods in parts of the country and easy payment options like COD – which are not problems in western countries

Obj-text

As e-commerce sites gain trust, users are beginning to order more frequently

Obj-text

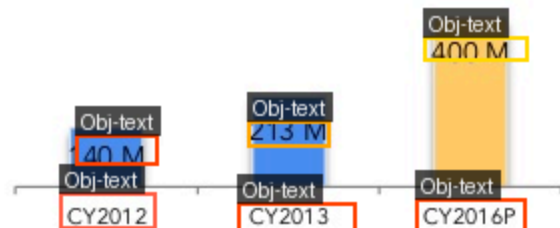
Also, repeat users – acquired more than 1yr old - are more comfortable ordering online and order significantly more than first time buyers

Other-text

Title

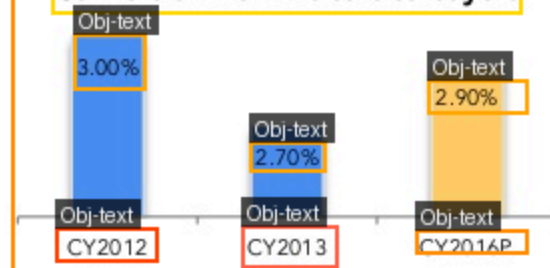
Growth of India online shopping

Internet users in India

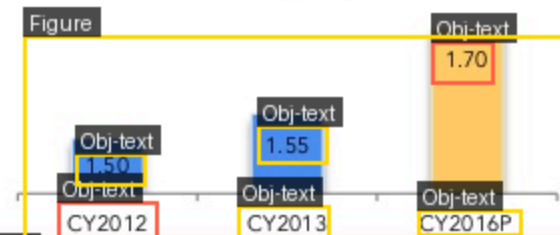


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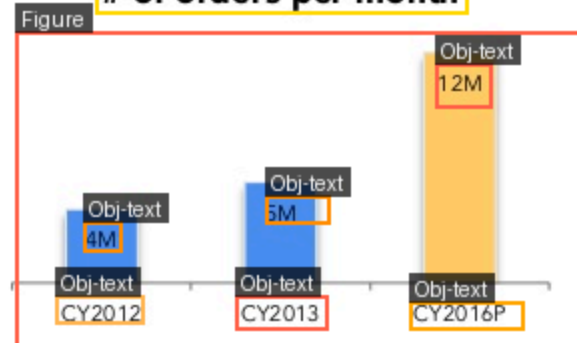
Conversion from visitors to buyers



Orders per buyer per month



of orders per month



Average order value



- Last year there was a significant jump in average order value as there was a penetration of new categories like jewellery, home décor etc
- Also, users are becoming more comfortable buying higher priced items online

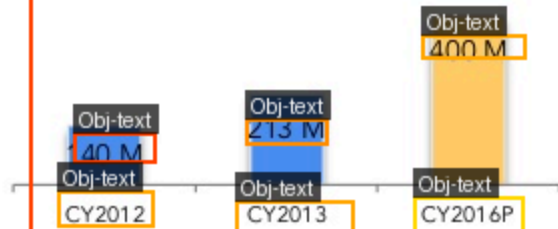
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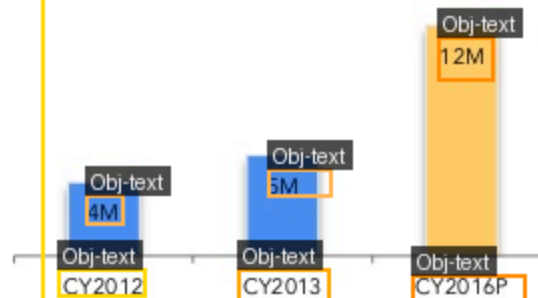
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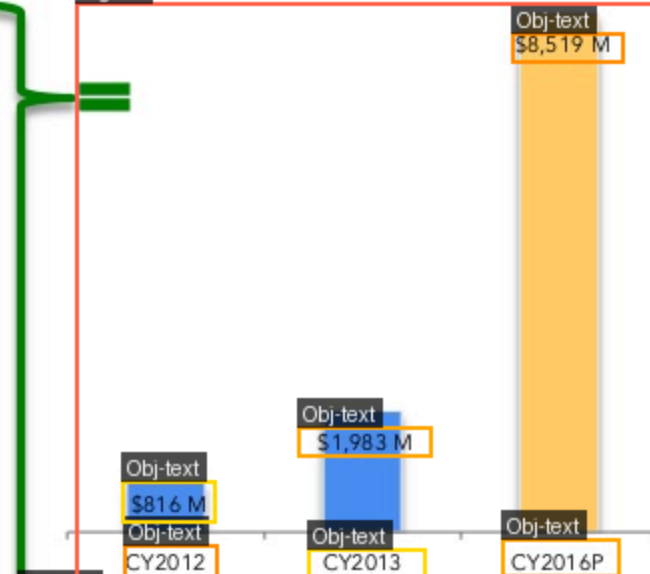
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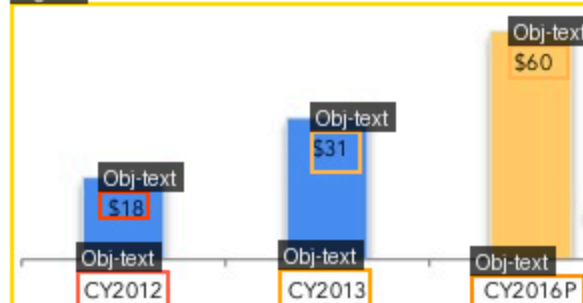


Figure

Annualized online shopping GMV



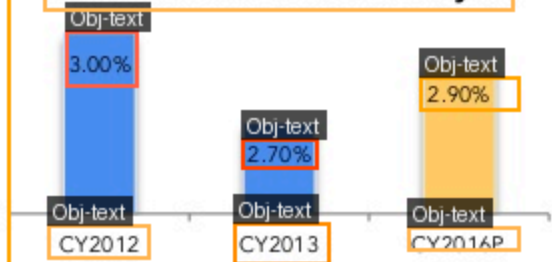
Average order value



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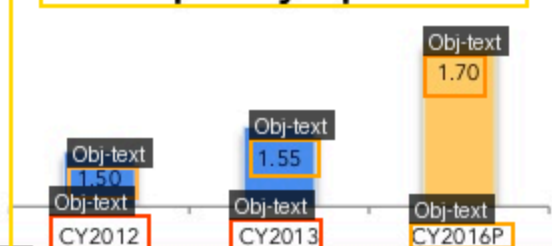
Figure

Conversion from visitors to buyers



Figure

Orders per buyer per month



Other-text

Other-text

Title

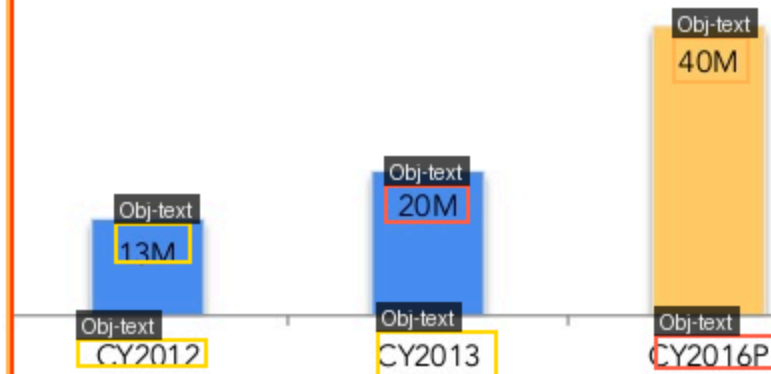
Other observations

Diagram

Figure

Obj-text

of online shoppers in India



Page-text

1. ~200M of Indians will come online in next 3 years

Page-text

2. Majority of these will come online on smartphones

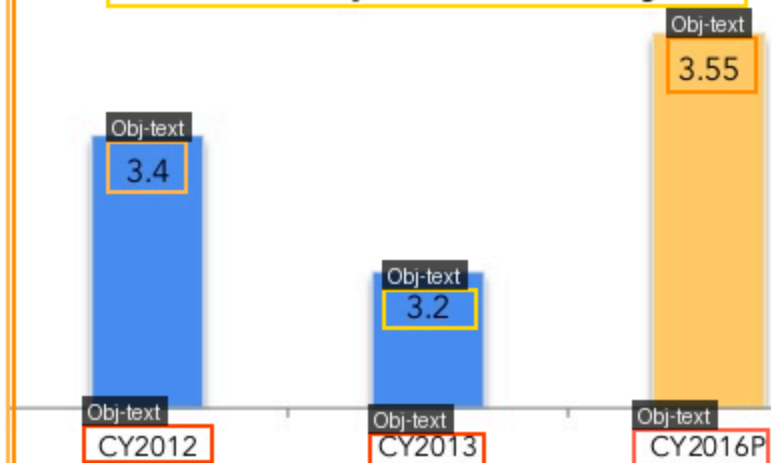
Page-text

3. E-Commerce companies are building their brands, thus gaining trust of users

Figure

Obj-text

of orders per customer / year



Page-text

1. Existing shoppers shop more number of times than new shoppers (in that year)

Page-text

2. As India's e-commerce market grows the proportion of existing shoppers will increase from 30% (in 2013) to 50% (in 2016)

Other-text

Accel estimates & Accel portfolio companies

Other-text

17

Title
E-commerce is a small sliver of Indian retail

Obj-text

■ Unorganized retail

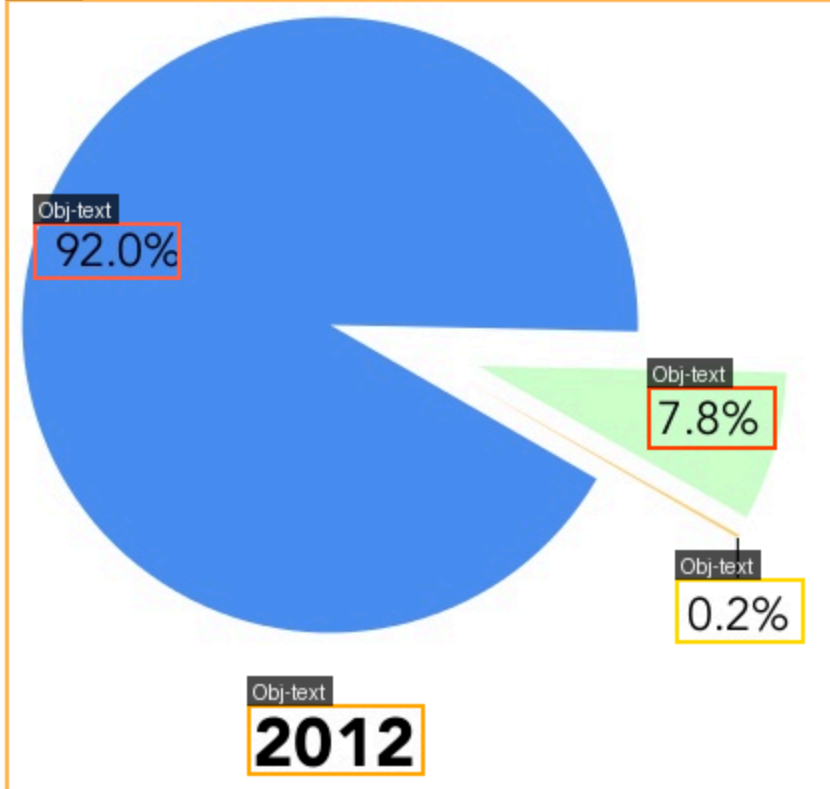
Obj-text

■ Organized retail - offline

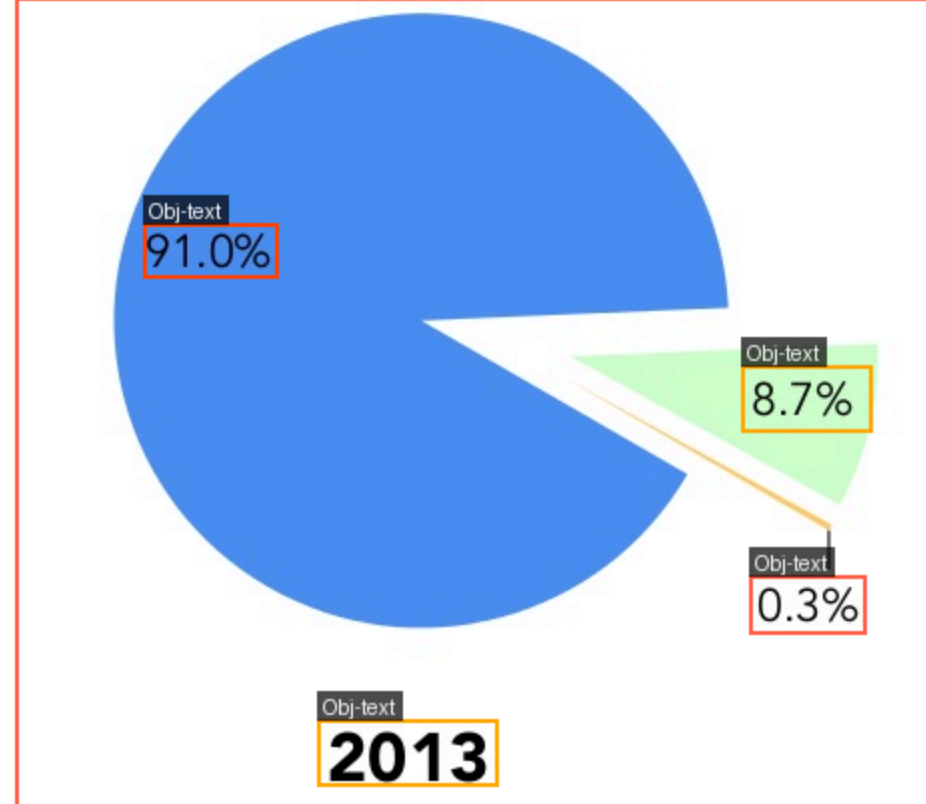
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■ Organized retail - online

Figure



Figure



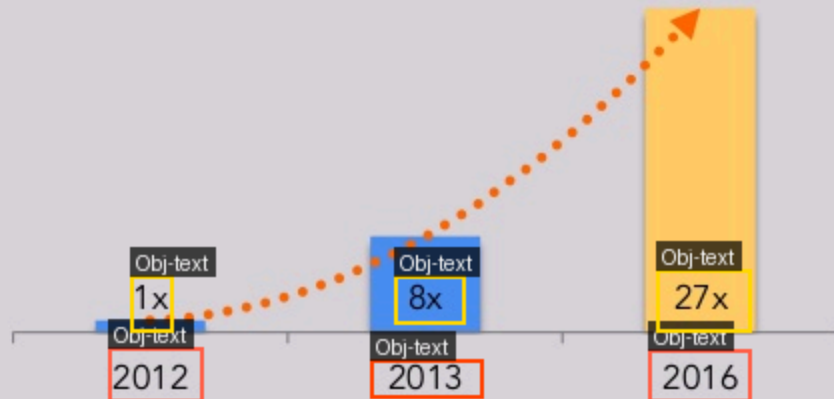
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Mobile

There is a traffic to revenue gap on mobile e-commerce in India

Mobile shopping grew 800% in 2013, we expect it to grow at a 150% CAGR till 2016



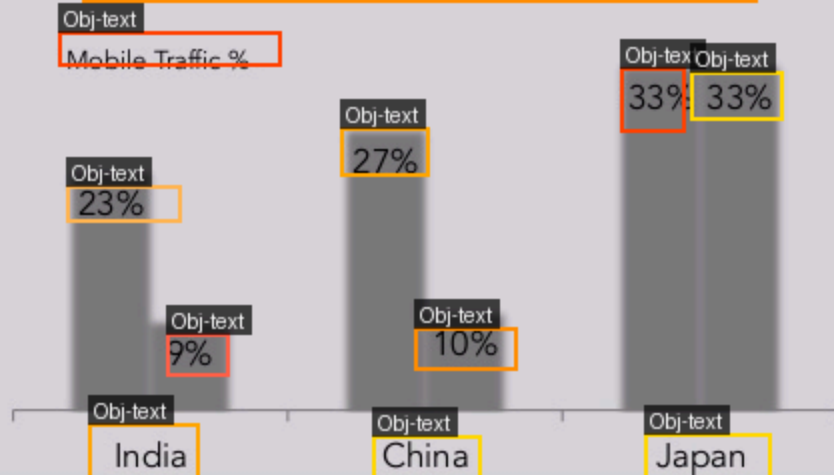
Factors leading to major adoption of mobile as a channel:

- 10% of the growth in Indian internet users was mobile only
- Showrooming – a growing habit

Reasons why there is not a 1:1 conversion of traffic to mobile:

- Most e-retailers do not have mobile optimized sites
- Most transactions are for low ticket items
- Mobile marketing budgets are < 10% of overall digital marketing budgets, even though they have increased 100% Y-o-Y, even though overall ad spends have increased 20% Y-o-Y

Mobile revenue share is lagging mobile traffic share in India and China



India vs rest of BRICS - mobile shopping GMV as % of overall GMV

